

Instalment Payments as an Untapped Revenue Lever

To: Olist leadership | From: Delza Brown, Growth & Strategy Analysis | Date: September 2018 (retrospective advisory framing, based on Oct 2016 – Oct 2018 order data)

IF YOU REMEMBER ONE SENTENCE, REMEMBER THIS

Two thirds of Olist's revenue comes from customers paying in instalments, and Olist earns nothing from the payment itself. We should use that volume to negotiate a better rate with the payment providers we already use, before we consider building anything.

The decision, in one page

What we are asking for. Approval to open a commercial negotiation with Olist's existing payment partners, using our combined instalment volume as leverage, and to pass part of any saving back to sellers as a competitive term. That is the whole ask. No new product, no new licence, no change to how customers check out.

What it costs. Management time and a data request. There is no build, so there is nothing to write off if the answer comes back no.

What we learn. Whether our payment volume is worth anything at the negotiating table. That is the one question we cannot answer from the outside, and it gates every larger version of this idea.

Why it has not happened already. Not because it was considered and rejected. Payments simply are not on Olist's list of what the business does. The company's own description of itself names three pillars, and payments is not one of them.

63.5%

of revenue comes from instalment orders

R\$10.2M

instalment revenue vs R\$5.8M single-payment

+64%

bigger average order when customers use instalments

R\$0

Olist earns from the payment step itself

What this memo is not claiming.

It is not claiming Olist should become a payment company. Olist sits between sellers and outside marketplaces that run their own checkouts, so we could not control payments even if we wanted to. The recommendation is deliberately smaller than the opportunity, because the small version is the one we can actually test.

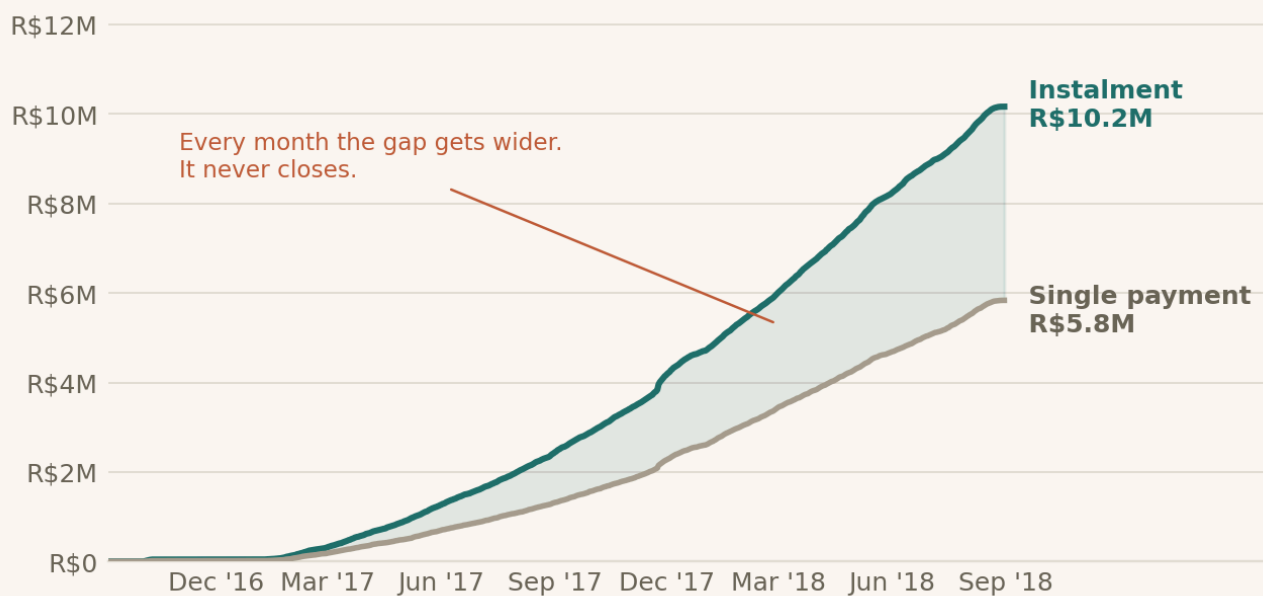
1. Instalments already carry the business

Orders split almost evenly between the two payment types. Revenue does not.

	Orders	% of orders	Revenue (R\$)	% of revenue
Instalment	51,170	51.5%	10,166,447	63.5%
Single payment	48,270	48.5%	5,842,425	36.5%

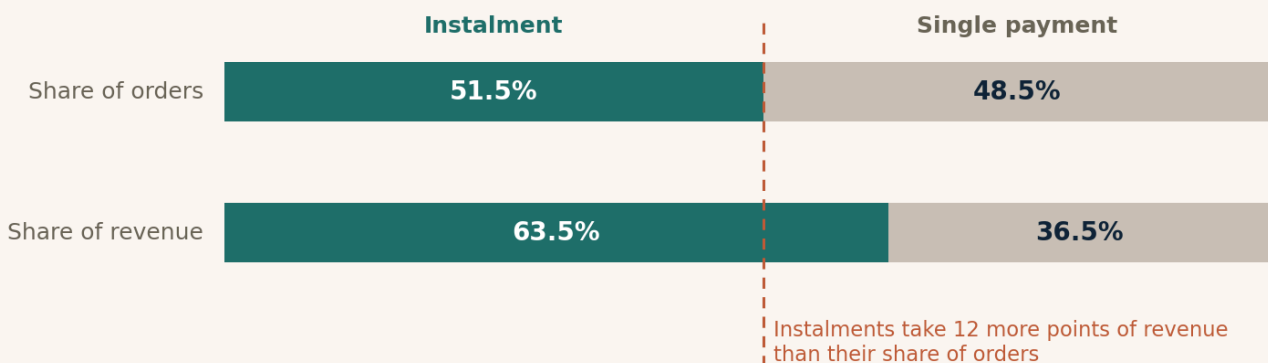
IN PLAIN TERMS

Instalment orders are half the orders but nearly two thirds of the money. Every extra percentage point of instalment usage is worth more to Olist than a percentage point of anything else we sell.



Source: Brazilian E-Commerce Public Dataset by Olist, Sep 2016 - Oct 2018 (n = 99,440 orders)

Figure 1. Cumulative revenue by payment type. Display trimmed at Sep 2018; a small number of later orders are excluded. The gap widens throughout and never closes.

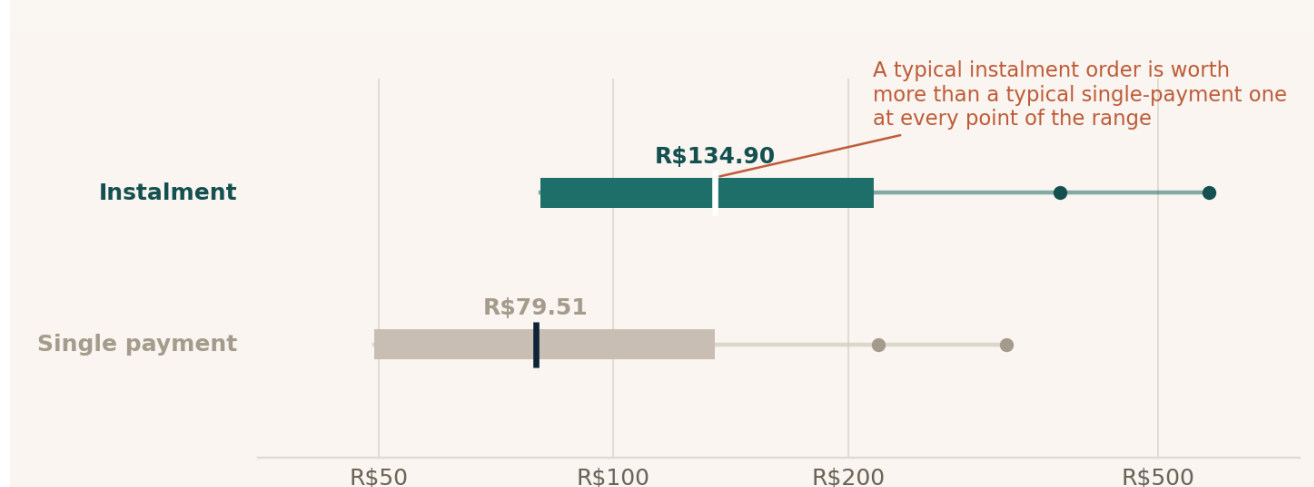


Source: Brazilian E-Commerce Public Dataset by Olist, Sep 2016 - Oct 2018 (n = 99,440 orders)

Figure 2. Instalments are 51.5% of orders but 63.5% of revenue — a 12-point gap between volume share and value share.

The average instalment order is worth R\$198.68 against R\$121.04 for single payment, a gap of 64.1%. The middle order tells the same story more reliably: R\$134.90 against R\$79.51, a gap of

69.7%. That second comparison matters because it rules out a handful of very large purchases dragging the average up. The whole distribution sits higher, not just the top of it. Even the smaller instalment orders (the 25th percentile, R\$80.55) beat the typical single-payment order.



Source: Brazilian E-Commerce Public Dataset by Olist, Sep 2016 - Oct 2018 (n = 99,440 orders)

Figure 3. Order value ranges by payment type. The bar spans the middle half of orders; the notch marks the typical (median) order.

What this does not establish.

Instalments and larger orders travel together. Which one causes the other is not something this data can answer, and the less convenient reading may well be the right one: customers facing a large basket reach for instalments, rather than instalments prompting them to spend more. The link is strong and consistent enough to act on either way, but we should not claim instalments cause bigger orders.

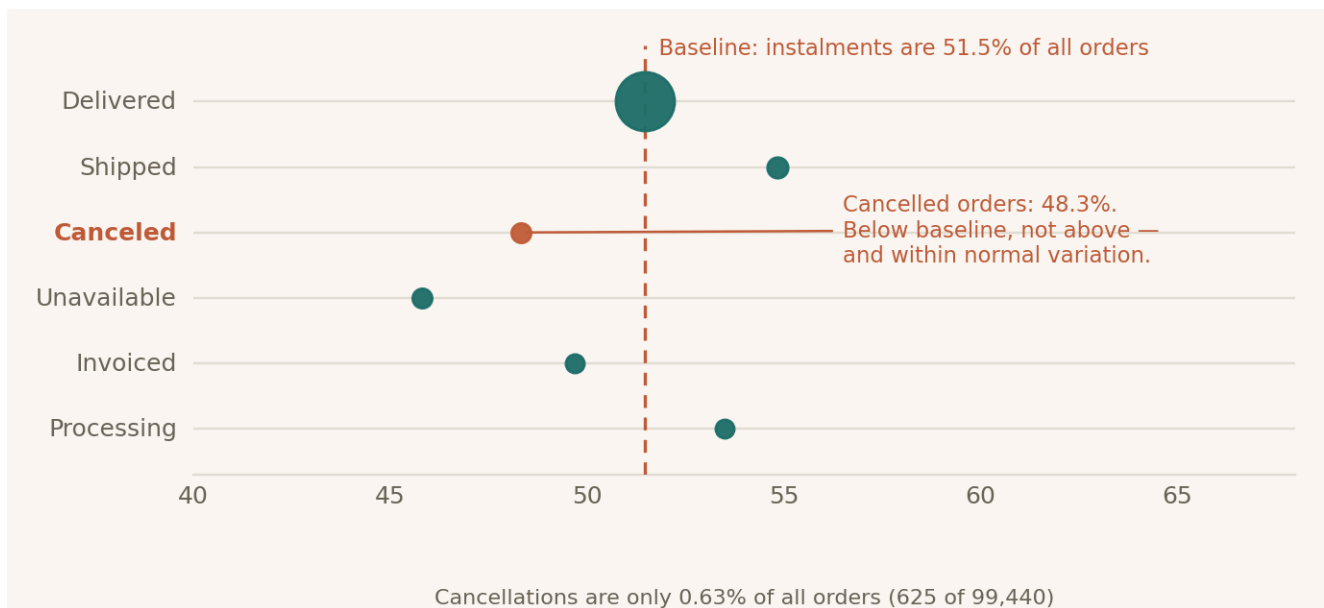
2. The obvious objection does not survive the data

The reasonable worry about leaning further into instalments is that they attract financially stretched customers, and that this shows up later as cancellations, failed deliveries or unpaid balances. The first two do not appear.

Instalment orders are 51.5% of all orders and 48.3% of cancelled orders. If anything they are slightly *under*-represented among cancellations, not over-represented. That small gap is within normal variation for a sample this size and should not be read as instalments being safer either. Cancellation is also a small phenomenon to begin with: 625 cancelled orders out of 99,440, or 0.63%. There is no cancellation problem here to attribute to anyone.

IN PLAIN TERMS

If instalment customers were a riskier group, they would show up disproportionately among cancelled orders. They do not. They show up almost exactly in line with how common they are.



Source: Brazilian E-Commerce Public Dataset by Olist, Sep 2016 – Oct 2018 (n = 99,440 orders). Statuses under 100 orders excluded.

Figure 4. Share of instalment orders by order status. Every status sits close to the 51.5% baseline, including cancellations. Dot size reflects the number of orders.

The natural follow-up objection is that poorer regions might be quietly absorbing the risk. They are not. Across all 27 states there is no relationship between a state's income level and its cancellation rate (correlation of 0.02, which is statistically indistinguishable from none).

What this does not establish.

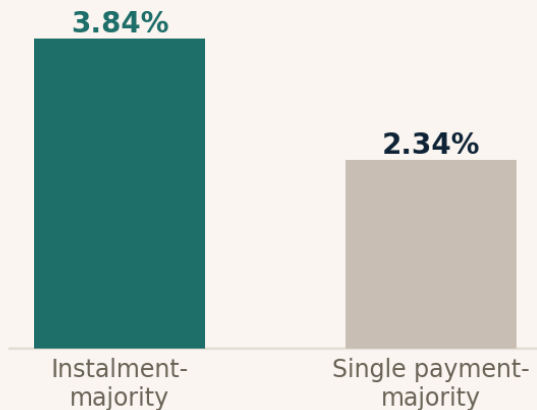
A cancelled order and an order whose instalments are never fully repaid are two different events, and this dataset only records the first. Nothing here tells us anything about whether people finish paying. That is a real gap, and Section 6 treats it as a condition of proceeding rather than a footnote.

3. Instalment users come back more often

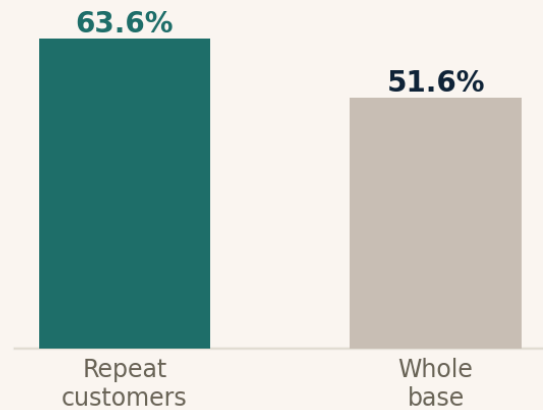
This is the finding most likely to be missed, because repeat buying at Olist is weak enough overall that it is tempting to stop looking. Customers who mostly use instalments come back at 3.84%. Customers who mostly pay in one go come back at 2.34%. Read from the other end: among customers who did come back, 63.6% use instalments, against 51.6% across the whole base.

These are small numbers in absolute terms and should be presented as such. But the direction is the same on two separate cuts of the data, and it undercuts the assumption sitting underneath the original question: that instalment users are a lower-quality segment to be tolerated rather than pursued. On every measure available here, they are the better segment, not the worse one.

Repeat rate by customer type



Instalment usage rate



Repeat purchasing is rare across the whole base. These are consistent differences on small absolute numbers.

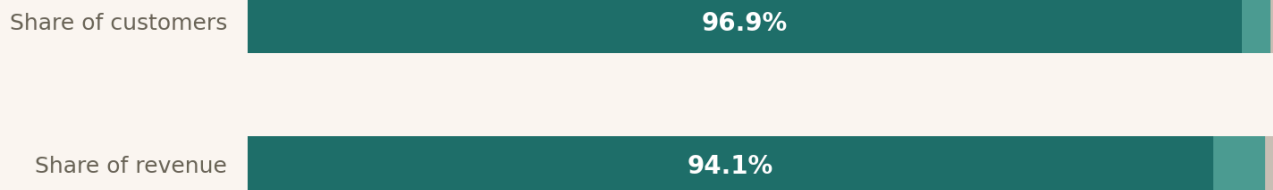
Source: Brazilian E-Commerce Public Dataset by Olist, Sep 2016 - Oct 2018 (n = 99,440 orders)

Figure 5. Two independent cuts of the same relationship: instalment customers return more often, and returning customers skew towards instalments.

4. Growth here comes from new customers, not repeat ones

96.9% of Olist's customers order exactly once, and those customers generate 94.1% of all revenue. Two-order customers are 2.9% of the base and 5.1% of revenue. Customers with three or more orders are 0.3% and 0.8%.

Customers who ordered once



97 out of every 100 customers never come back. They are 94% of the revenue.

Source: Brazilian E-Commerce Public Dataset by Olist, Sep 2016 - Oct 2018 (n = 99,440 orders)

Figure 6. Share of customers and share of revenue by lifetime order count. Revenue concentration mirrors customer concentration almost exactly.

WHY THIS MATTERS FOR THE DECISION

At this scale, building a loyalty programme would be working on 6% of the revenue. Section 3 is a reason to *prefer instalment users when we acquire customers*, not a reason to build retention machinery. The two findings point at the same action.

5. The income relationship, stated carefully

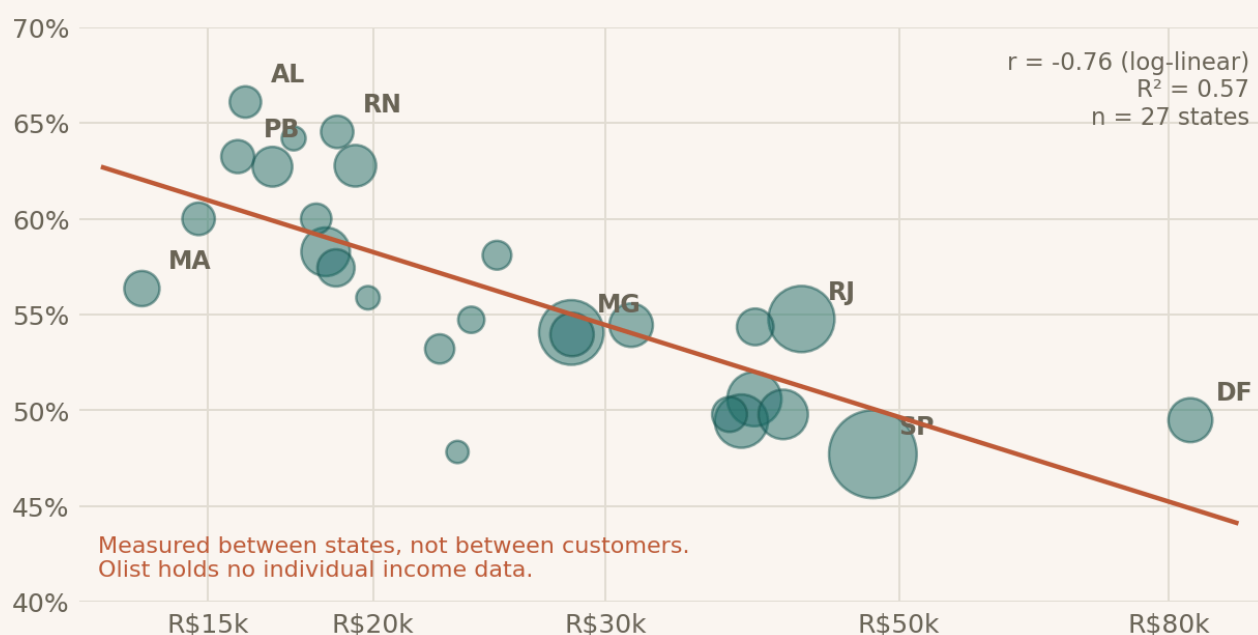
Instalment usage rises as regional income falls. Across all 27 Brazilian states, the relationship between a state's GDP per capita and its instalment share is strong and consistent (correlation

of -0.76 on the better-fitting curve, meaning income alone accounts for a little over half of the difference between states). A rank-based check that is resistant to unusual values gives -0.78 , so this is not the product of one odd state.

The shape of that curve is the part that matters commercially. Instalment usage falls as income rises, but it flattens out rather than heading for zero. São Paulo is the wealthiest high-volume state in the data and still runs 47.7% instalment share.

IN PLAIN TERMS

Instalment demand is not just a poverty story. It is heaviest in lower-income states, but it stays substantial everywhere, including the richest ones. That means instalments do not become irrelevant if Olist moves upmarket.



Source: Brazilian E-Commerce Public Dataset by Olist (n = 99,440 orders); IBGE state income and Gini, 2017–2018

Figure 7. Instalment usage against state GDP per capita across all 27 states. Bubble size reflects order volume. Usage falls as income rises but flattens rather than reaching zero.

What this does not establish, and this is the sharpest limitation in the memo.

This relationship is measured between *states*, not between customers. Olist holds no income data on individual customers; the income figures are regional averages from IBGE. São Paulo's 47.7% could in principle be produced entirely by its lower-income residents while its wealthy residents barely use instalments at all, and this data could not tell the difference.

The safe conclusion is that instalment demand is broad-based across regions of very different income levels, which is genuinely useful. The conclusion that wealthy individual customers will keep using instalments as Olist moves upmarket is a reasonable hypothesis this analysis motivates but does not test.

6. The recommendation

PHASE 1 — NEGOTIATE, DO NOT BUILD

Use Olist's combined instalment volume to negotiate improved processing rates with our existing payment partners, and pass a defined share of the saving back to sellers as a competitive term.

This needs no new infrastructure, no licence, and no change to any marketplace checkout. It tests the only question that matters first: whether the volume is worth anything at the table.

Treat Phase 1 as a measured test, not a procurement exercise. Before it starts, we should obtain the cost data this analysis could not see: processing fees by instalment count, settlement timing and the working-capital effect, and observed non-completion rates on instalment plans. The revenue side of this case is well evidenced. The cost side is currently unmeasured, and no commitment beyond negotiation should be made until it is.

Phase 2 — build only on evidence. If Phase 1 demonstrates real margin and seller uptake, consider a deeper bespoke arrangement or an in-house financial product. Olist is roughly two years into operation with a Series B behind it. Proving cheaply before building expensively is the right sequencing for a company of this size stepping outside its core competency, and Phase 2 carries obligations, Brazilian financial licensing among them, that Phase 1 does not.

Explicitly not recommended: mandating instalments through an Olist-controlled channel, or any move that assumes Olist controls checkout.

Why "become the payment gateway" is the wrong first move

Olist operates as a middle layer connecting sellers to established third-party marketplaces rather than as a single owned storefront. Those marketplaces run their own checkout flows and their own payment processor relationships. Olist's systems record instalment terms as orders pass through its order-management software, which is a different thing from owning the payment step. If Olist does not sit upstream of checkout, it cannot mandate a payment method. The lever Olist does control is aggregation: it concentrates payment volume across a large number of sellers who would individually have no negotiating position at all.

What Olist's own words reveal

Olist's 2018 FAQ describes the business as resting on three pillars: software for centralised order management, contracts (marketplace agreements plus the Correios shipping arrangement), and shared seller reputation. Payments are not among them, and are not described anywhere as core to what Olist does. This is not a company that considered payments and declined to enter. It is a company whose largest revenue-associated behaviour sits entirely outside its own definition of itself. The FAQ gives the Correios contract prominent billing as a negotiated advantage secured on sellers' behalf. That is precisely the shape of the opportunity in payments, and it has not been taken.

7. What would change our minds

Stating this up front is part of the recommendation, not a hedge. Any of the following should stop Phase 2 or reopen Phase 1:

- **Processing costs eat the gap.** If instalment orders cost materially more to process than single-payment ones, the revenue advantage may already be spent. We do not have this data and cannot get it from the outside.
- **Instalment plans go unpaid at a meaningful rate.** Cancellation is not the same as default, and this dataset only records cancellation. If non-completion is high, the risk picture changes entirely.
- **Settlement timing hurts cash flow.** Money received later is worth less, and instalments may push receipts further out.
- **Partners will not move on rate.** If our volume buys nothing, Phase 1 answers the question cheaply and we stop.

Standing of the claims in this memo

The findings in Sections 1 through 5 are measured from the order data and stated with their limitations attached. The recommendation in Section 6 is a strategic judgement built on top of those findings. The data establishes that instalment volume is large, low-risk on the dimensions observable here, and unmonetised. It does not by itself conclude that Olist should act on it, and this memo does not claim otherwise.

The original framing of this analysis considered a stronger recommendation, that Olist should become the payment gateway outright. That was revised after examining Olist's structural position between sellers and marketplaces, which makes control of checkout implausible. The revision is recorded here rather than removed, because the reasoning that narrowed the recommendation is part of the case for the one that survived.

How to read the statistics quoted above

Correlation measures how reliably two things move together, on a scale from -1 to $+1$. Zero means no relationship. A figure near -0.76 , as with income and instalment usage, means that as one goes up the other goes down, consistently enough to plan around, though never perfectly. The 0.02 figure for income and cancellations means effectively no relationship at all.

Median is the middle value: half of orders are above it, half below. It is quoted alongside the average because averages can be pulled upward by a few very large orders, and the median cannot.

Statistically significant means a difference is larger than we would expect from chance alone given how much data we have. The cancellation gap in Section 2 is not statistically significant, which is why it is described as "no elevated risk" rather than "lower risk".

Data: Brazilian E-Commerce Public Dataset by Olist, ~99,440 orders, September 2016 – October 2018. State income and Gini figures from IBGE, 2017–2018 (SIDRA Tabelas 6784 and 7435). All currency in Brazilian Reais (R\$). Full working, including questions investigated and not carried into this memo, is in FINDINGS_LOG.md.